

Consolidate first, move to cloud selectively, run the ERP as the critical path: NOK 84M lower run cost a year and a data-center exit by 2028Q4

To: CIO, Nordlys Gruppen ASA · From: Application portfolio review · Re: Rationalisation of 150 systems

Situation

Nordlys runs 150 applications at an annual run cost of **NOK 297.8M**, including an NOK 18M data-center facility. 85 systems (57 %) are hosted on-premise. The acquisitions of Vestfjord Maskin (2022) and Polarkomponent (2024) brought in their own ERP, payroll, warehouse, MES, integration and BI stacks, which were never integrated.

Complication

- **Duplication:** 64 systems sit in **24 duplicate groups** doing the same job in the same capability, each with its own licences, infrastructure and support staff.
- **End-of-life exposure:** 28 systems that stay in use run on platforms out of support within two years, 14 already expired.
- **Hard deadline:** the data-center lease expires in **2028**; 81 systems must leave it.

Recommendation

1. **Consolidate first.** Retire 39 duplicates into one group standard per capability and switch off 29 low-value systems. This is where the money is.
2. **Move to cloud selectively.** Rehost, replatform, refactor or repurchase only the 37 systems where end-of-life risk or the DC exit requires it; retain 45 as-is.
3. **Treat the ERP as the critical path.** Replace SAP ECC with a cloud ERP as a dedicated programme; Vestfjord's Dynamics NAV consolidates into the new group ERP after its 2028Q2 go-live, not onto ECC.

Business case (estimates)

Lever	Annual saving	One-off
Consolidate 39 duplicates	NOK 47.2M	NOK 27.8M
Retire 29 other systems	NOK 11.5M	NOK 1.9M
Exit DC facility	NOK 18.0M	–
37 cloud/SaaS moves (incl. ERP NOK 80M)	NOK 7.1M	NOK 145.5M
Temporary integrations	–	NOK 2.4M
Total	NOK 83.8M (–28 %)	NOK 177.5M

5-year NPV NOK 78.8M at 8 %. Simple payback (steady state) is 2.1 years; cash break-even, when cumulative cash flow turns positive, is 2030Q2.

Moving cloud run cost and migration cost ±30 % gives an NPV between **–NOK 32.1M** and **+NOK 189.7M**: if both land 30 % worse, the case is negative over five years.

Cloud and SaaS moves are justified by risk and the DC exit, not by savings; consolidation carries the economics.

Roadmap

Horizon	Scope	Cutovers
H1 · 2027Q1–Q3 — quick wins	Switch-offs, rehosts, integration middleware consolidated; ERP programme starts	41
H2 · 2027Q4–2028Q4 — transform and exit	Replatform, refactor and repurchase; ERP live 2028Q2; Dynamics NAV moved into it 2028Q3; DC vacated 2028Q4	59
H3 · 2029Q1 — close-out	Last consolidations outside the DC; full run-rate saving	5

Risks and mitigations

- **ERP slip pushes the DC exit past the lease.** The plan exits in exactly 2028Q4, with no slack. Mitigation: negotiate a 6–12-month lease extension option now, while there is leverage.
- **Delivery capacity.** Peak demand is 1,793 person-days in a quarter, 100 % of the assumed pool. Mitigation: contract partner capacity for 2028 before the programme starts.
- **Data residency.** Payroll and time-and-attendance data, which must stay in the EU/EEA, moves to SaaS. Mitigation: make an EU/EEA or Norwegian region a contract requirement.

Decisions required in the next 30 days

1. **Confirm the group standard** in each of the 24 duplicate groups, starting with ERP, payroll, warehouse and integration middleware.
2. **Mandate the ERP programme** (NOK 80M estimate, 2027Q1–2028Q2) and name a business owner.
3. **Open lease talks** for an extension option, and approve sourcing of partner delivery capacity.